The Worldly Philosophers.
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VI

The Inexorable System of Karl Marx

The *Manifesto* opened with ominous words: "A spectre is haunting Europe—the spectre of Communism. All the powers of old Europe have entered into a holy alliance to exorcise this spectre: Pope and Tsar, Metternich and Guizot, French Radicals and German police spies."

The specter certainly existed: 1848 was a year of terror for the old order on the Continent. There was a revolutionary fervor in the air and a rumble underfoot. For a moment—for a brief moment—it looked as if the old order might break down. In France the plodding regime of Louis Philippe, the portly middle-class king, wrestled with a crisis and then collapsed; the king abdicated and fled to the security of a Surrey villa, and the workingmen of Paris rose in a wild uncoordinated surge and ran up the Red Flag over the Hôtel de Ville. In Belgium a frightened monarch offered to submit his resignation. In Berlin the barricades went up and bullets whistled; in Italy mobs rioted; and in Prague and Vienna popular uprisings imitated Paris by seizing control of the cities.

"The Communists disdain to conceal their views and aims," cried the *Manifesto*. "They openly declare that their ends can be attained only by the forcible overthrow of all existing social relations. Let the ruling classes tremble at a Communist revolution. The proletarians have nothing to lose but their chains. They have a world to win."

The ruling classes did tremble, and they saw the threat of communism everywhere. Nor were their fears groundless. In the French foundries the workmen sang radical songs to the accompaniment of blows from their sledgehammers, and the German romantic poet Heinrich Heine, who was touring the factories, reported that "really people in our gentle walk of life can have no idea of the demonic note which runs through these songs."

But despite the clarion words of the *Manifesto*, the demonic note was not a call for a revolution of communism; it was a cry born only of frustration and despair. For all of Europe was in the grip of reaction compared with which conditions in England were positively idyllic. The French government had been characterized by John Stuart Mill as "wholly without the spirit of improvement and . . . wrought almost exclusively through the meaner and more selfish impulses of mankind," and the French had no monopoly on such a dubious claim to fame. As for Germany, well, here it was, the fourth decade of the nineteenth century, and Prussia still had no parliament, no freedom of speech or right of assembly, no liberty of the press or trial by jury, and no tolerance for any idea that deviated by a hair's breadth from the antiquated notion of the divine right of kings. Italy was a hodgepodge of anachronistic principalities. Russia under Nicholas I (despite the Tsar's one-time visit to Robert Owen's New Lanark) was characterized by the historian de Tocqueville as "the cornerstone of despotism in Europe."

Had the despair been channeled and directed, the demonic note might have changed into a truly revolutionary one. But, as it was, the uprisings were spontaneous, undisciplined, and aimless; they won initial victories, and then, while they were wondering what next to do, the old order rocked invincibly back into place. The revolutionary fervor abated, and where it did not, it was mercilessly crushed. At the price of ten thousand casualties, the Paris mobs were subdued by the National Guard, and Louis Napoleon took over the nation and soon exchanged the Second Republic for the Second Empire. In Belgium the country decided that it had better ask the king to stay after all; he acknowledged the tribute by

abolishing the right of assembly. The Viennese and Hungarian crowds were cannonaded from their strongholds, and in Germany a constitutional assembly that had been bravely debating the question of republicanism broke down into factional bickering and then ignominiously offered the country to Frederick William IV of Prussia. Still more ignominiously, that monarch declared that he would accept no crown proffered by the ignoble hands of commoners.

The revolution was over. It had been fierce, bloody, but inconclusive. There were a few new faces in Europe, but the policies were much the same.

But to a little group of working-class leaders who had just formed the Communist League, there was no cause for deep despair. True, the revolution for which they had entertained high hopes had petered out and the radical movements pocketed throughout Europe were being more ruthlessly hounded than ever before. Yet all that could be regarded with a certain equanimity. For according to their understanding of history, the uprisings of 1848 were only the small-scale dress rehearsals of a gigantic production that was scheduled for the future, and of the eventual success of that awesome spectacle there could be not the shadow of a doubt.

The League had just published its statement of objectives and called it *The Communist Manifesto.* With all its slogans and its trenchant phrases, the *Manifesto* had not been written merely to whip up revolutionary sentiment or to add another voice of protest to the clamor of voices that filled the air. The *Manifesto* had something else in mind: a philosophy of history in which a Communist revolution was not only desirable but demonstrably *inevitable.* Unlike the Utopians, who also wanted to reorganize society closer to their desires, the Communists did not appeal to men's sympathies or to their addiction to building castles in the air. Rather, they offered men a chance to hitch their destinies to a star and to watch that star move inexorably across the historical zodiac. There was no longer a contest in which one side or the other ought to win for moral or sentimental reasons or because it thought the existing order was outrageous. Instead there was

a cold analysis of which side *had* to win, and since that side was the proletariat, their leaders had only to wait. In the end, they could not lose.

The *Manifesto* was a program written for the future. But one thing would have surprised its authors. They were prepared to wait—but not for *seventy* years. They were already scanning Europe for the likeliest incubator of revolt. And they never even cast a glance in the direction of Russia.

The *Manifesto,* as everybody knows, was the brainchild of that angry genius, Karl Marx. More accurately, it was the result of collaboration between him and his remarkable companion, compatriot, supporter, and colleague, Friedrich Engels.

They are interesting, and, of course, enormously important men. The trouble is, they rapidly became not just men, but figures. At least until the Soviet debacle, Marx was widely considered a religious leader to rank with Christ or Mohammed, and Engels thus became a sort of Saint Paul or John. In the Marx-Engels Institute in Moscow, scholars pored over their works with the idolatry they ridiculed in the antireligious museums down the street. But while Marx and Engels were canonized in Stalinist Russia and, to a lesser extent, in Maoist China, they were regarded as creatures of the devil in much of the rest of the world.

They merit neither treatment, for they were neither saints nor devils. Nor is their work either Scripture or anathema. It belongs in the great line of economic viewpoints that have successively clarified, illuminated, and interpreted the world for us, and like the other great works on the shelf, it is not without flaw. The world has been preoccupied with Marx the Revolutionary. But had Marx not lived, there would have been other Socialists and other prophets of a new society. The real and lasting impact of Marx and Engels is not their revolutionary activity, none of which bore too much fruit during their own lifetimes. It is with the vision of Marx the Political Economist that capitalism must finally come to grips. For the final imprint he made on history was his prediction that capitalism must inevitably collapse. On that pre-

diction, communism built its edifice, heedless of its own weaknesses.

But let us see the men.

They were very much opposites in appearance. Marx *looked* like a revolutionary. His children called him "The Moor," for his skin was dark and his eyes deep-set and flashing. He was stocky and powerfully built and rather glowering in expression with a formidable beard. He was not an orderly man; his home was a dusty mass of papers piled in careless disarray in the midst of which Marx himself, slovenly dressed, padded about in an eye-stinging haze of tobacco smoke. Engels, on the other hand, would pass for a member of his despised *bourgeoisie;* tall and fair and rather elegant, he had the figure of a man who liked to fence and to ride to hounds and who had once swum the Weser River four times without a break.

It was not only in their looks that they differed; their personalities were at opposite poles. Engels was gay and observant and gifted with a quick and facile mind; it was said that he could stutter in twenty languages. He had a taste for the bourgeois pleasures in life, including a good palate for wine, and it is amusing to note that although he turned to the proletariat for his amours, he spent much of his time romantically (and unsuccessfully) trying to prove that his working-class mistress, Mary Burns (and later, after her death, her sister Lizzie), were actually descended from the Scottish poet.

Marx was much more ponderous. He is the German scholar par excellence, slow, meticulous, and painstakingly, even morbidly, perfectionist. Engels could dash off a treatise in no time at all; Marx was always worrying one to death. Engels was fazed only by Arabic with its four thousand verb roots; Marx, after twenty years of practice, still spoke hideously Teutonic English. When he writes of the great "chock" which events have caused him, we can almost hear him speak. But for all his heaviness, Marx is the greater mind of the two; where Engels supplied breadth and dash, Marx provided the depth.

They met, for the second time, in 1844 in Paris, and their collaboration begins at this date. Engels had come merely to call on Marx, but they had so much to say to each other that their conversation lasted for ten days. Thereafter there is hardly a product of the one that was not edited or rewritten or at least debated with the other, and their correspondence fills volumes.

Their paths to that common meeting ground in Paris were widely divergent. Engels was the son of a pietist, Calvinist, narrow-minded father, a manufacturer in the Rhineland. When Friedrich as a young man had shown an incomprehensible taste for poetry, his father had packed him off to Bremen to learn the export business and to live with a cleric: religion and moneymaking, according to Caspar Engels, were good cures for a romantic soul. Engels had dutifully applied himself to business, but everything he saw was colored by a personality in revolt, a happy-go-lucky personality that was incompatible with his father's rigid standards. He went down to the docks in the course of business, but his observant eye took in not only the first-class accommodations "in mahogany ornamented with gold" but the steerage as well, where the people were "packed in like the paving-stones in the streets." He began to read the radical literature of his time, and by the age of twenty-two he was converted to the ideals of "communism"—a word that then had no very clear definition except insofar as it rejected the idea of private property as a means for organizing society's economic effort.

Then he went to Manchester to enter his father's textile business there. Manchester, like the ships in Bremen, seemed to Engels a façade. There were pleasant streets lined with shops and suburbs ringing the city with pleasant villas. But there was a second Manchester as well. It was hidden behind the first and laid out so that the mill owners never had to see it on their trips to their offices. It harbored a stunted population living in a state of filth and despair, turning to gin and evangelism and doping itself and its children with laudanum against a life that was hopeless and brutal. Engels had seen similar conditions in the factory towns of his Rhineland

home, but now he explored Manchester until he knew every last hovel and each ratlike abode. He was to publish his findings in the most terrible verdict ever passed on the world of industrial slums: *The Condition of the Working Class in England in 1844*. One time he talked of the misery of the place to a gentleman friend and remarked that he had never seen so "ill-built a city." His companion listened to him quietly and then said, "And yet there is a great deal of money made here; good day, sir."

He was writing now—treatises to show that the great English economists were only apologists for the existing order—and one of his contributions made a special impression on a young man named Karl Marx, who was editing a radical philosophical magazine in Paris.

Unlike Engels, Marx came from a liberal, even mildly radical, family background. He was born in 1818 in Trier, Germany, the second son of a prosperous Jewish family that shortly thereafter adopted Christianity so that Heinrich Marx, an advocate, might be less restricted in his practice. Heinrich Marx was a respected man; he was, in fact, even appointed *Justizrat*, an honorary title for eminent lawyers, but in his day he had joined illegal banquet clubs that drank toasts to a republican Germany, and he had reared his young son on a diet of Voltaire, Locke, and Diderot.

Heinrich Marx hoped that his son would study law. But at the universities of Bonn and Berlin, young Marx found himself swept up in the great philosophical debate of the day. The philosopher Hegel had propounded a revolutionary scheme, and the conservative German universities found themselves split wide open over it. Change, according to Hegel, was the rule of life. Every idea, every force, irrepressibly bred its opposite, and the two merged into a "unity" that in turn produced its own contradiction. And history, said Hegel, was nothing but the expression of this flux of conflicting and resolving ideas and forces. Change—dialectical change—was immanent in human affairs. With one exception: when it came to the Prussian state, the rules no longer applied; the Prussian government, said Hegel, was like "a veritable earthly god."

This was a powerful stimulus for a young student. Marx joined a group of intellectuals known as the Young Hegelians who debated such daring questions as atheism and pure theoretical communism in terms of the Hegelian dialectic, and he decided to become a philosopher himself. He might have, had it not been for the action of that godlike state. Marx's favorite professor, Bruno Bauer, who was eager to procure an appointment for him at Bonn, was dismissed for proconstitutional and antireligious ideas (one evidently as bad as the other), and an academic career for young Dr. Marx became an impossibility.

He turned instead to journalism. The *Rheinische Zeitung*, a small middle-class liberal newspaper, to which he had been a frequent contributor, asked him to take on its editorship. He accepted; his career lasted exactly five months. Marx was then a radical, but his radicalism was philosophical rather than political. When Friedrich Engels came respectfully to call on him, Marx rather disapproved of that brash young man brimming with Communist ideas, and when Marx himself was accused of being a Communist, his reply was equivocal: "I do not know communism," he said, "but a social philosophy which has as its aim the defense of the oppressed cannot be condemned so lightly." But regardless of his disavowals, his editorials were too much for the authorities. He wrote a bitter denunciation of a law that would have prevented the peasants from exercising their immemorial rights to gather dead wood in the forests; for this he was censured. He wrote editorials deploring the housing situation; for this he was warned. And when he went so far as to say some uncomplimentary things about the Tsar of Russia, the *Rheinische Zeitung* was suppressed.

Marx went to Paris to take over another radical journal, which was to be almost as short-lived as the newspaper. But his interests were now turned in the direction of politics and economics. The undisguised self-interest of the Prussian government, the implacable resistance of the German *bourgeoisie* toward anything that might alleviate the condition of the German working classes, the almost caricaturesque attitudes of reaction which characterized the wealthy and ruling

classes of Europe—all of this had coalesced in his mind to form part of a new philosophy of history. And when Engels came to visit him and the two struck up their strong rapport, that philosophy began to take formal shape.

The philosophy is often called dialectical materialism; *dialectical* because it incorporates Hegel's idea of inherent change, and *materialism* because it grounds itself not in the world of ideas, but on the terrain of social and physical environment.

"The materialist conception of history," wrote Engels many years later in a famous tract entitled "Anti-Dühring" (it was aimed against a German professor named Eugen Dühring) "starts from the principle that production, and with production the exchange of its products, is the basis of every social order; that in every society that has appeared in history the distribution of the products, and with it the division of society into classes or estates, is determined by what is produced and how it is produced, and how the product is exchanged. According to this conception, the ultimate causes of all social changes and political revolutions are to be sought, not in the minds of men, in their increasing insight into eternal truth and justice, but in changes in the mode of production and exchange; they are to be sought not in the *philosophy* but in the *economics* of the epoch concerned."

The reasoning is powerful. Every society, says Marx, is built on an economic base—the hard reality of human beings who must organize their activities to clothe and feed and house themselves. That organization can differ vastly from society to society and from era to era. It can be pastoral or built around hunting or grouped into handicraft units or structured into a complex industrial whole. But whatever the form in which men solve their basic economic problem, society will require a "superstructure" of noneconomic activity and thought—it will need to be bound together by laws, supervised by a government, inspired by religion and philosophy.

But the superstructure of thought cannot be selected at random. It must reflect the foundation on which it is raised. No hunting community would evolve or could use the legal

framework of an industrial society, and similarly no industrial community could use the conception of law, order, and government of a primitive village. Note that the doctrine of materialism does not toss away the catalytic function and creativity of ideas. It only maintains that thoughts and ideas are the *product* of environment, even though they aim to change that environment.

Materialism by itself would reduce ideas to mere passive accompaniments of economic activity. That was never Marx's contention. For the new theory was *dialectical* as well as materialist: it envisaged change, constant and inherent change; and in that never-ending flux the ideas emanating from one period would help to shape another. "Men make their own history," wrote Marx, commenting on the *coup d'état* of Louis Napoleon in 1852, "but they do not make it just as they please; they do not make it under circumstances chosen by themselves, but under circumstances directly found, given, and transmitted from the past."

But the dialectical—the internal dynamism—aspect of this theory of history did not depend merely on the interplay of ideas and social structures. There was another and far more powerful agent at work. The economic world itself was changing; the bedrock on which the structure of ideas was built was itself in movement.

For example, the isolated markets of the Middle Ages began to lock fingers under the impetus of exploration and political unification, and a new commercial world was born. The old hand mill was replaced by the steam mill under the impetus of invention, and a new form of social organization called the factory came into being. In both cases the determining framework of economic life itself changed its form, and as it did, it forced a new social adaptation from the community in which it was embedded. "The hand-mill gives you society with the feudal lord," Marx wrote, "the steam-mill, society with the industrial capitalist."

And once such a change had taken place, it carried with it a whole train of consequences. The market and the factory were incompatible with the feudal way of life—even though they were born amidst it. They demanded a new cultural and

social context to go with them. And they helped in that difficult birthing process by creating their own new social classes: the market nurtured a new merchant class, and the factory gave birth to an industrial proletariat.

But the process of social change was not merely a matter of new inventions pressing on old institutions: it was a matter of new classes displacing old ones. For society, said Marx, is organized into class structures, aggregates of individuals who stand in some common relationship—favorable or otherwise—to the existing form of production. And economic change threatens all of that. As the organizational and technical forces of production change—as factories destroy handicraft industry, for example—the social relations of production change too; those on top may find the ground cut from under them, while those who were on the bottom may be carried higher. We have seen just such an upset of the relative position of social classes in Ricardo's day in England, when the capitalists, riding the wave of the Industrial Revolution, were threatening to usurp the time-honored prerogatives of the landed gentry.

Hence conflict develops. The classes whose positions are jeopardized fight the classes whose positions are enhanced: the feudal lord fights the rising merchant, and the guild master opposes the young capitalist.

But the process of history pays no attention to likes and dislikes. Gradually conditions change, and gradually, but surely, the classes of society are rearranged. Amid turmoil and anguish the division of wealth is altered. And thus history is a pageant of ceaseless struggle between classes to partition social wealth. For as long as the technics of society change, no existing division of wealth is immune from attack.

What did this theory augur for the society of Marx and Engels's day? It pointed to revolution—inevitable revolution. For capitalism, according to this analysis, must also contain "forces" and "relations" of production—a technological and organizational foundation, and an architecture of law and political rights and ideology. And if its technical base was evolving, then necessarily its superstructure must be subject to increasing strain.

That is exactly what Marx and Engels saw in 1848. The economic base of capitalism—its anchor in reality—was industrial production. Its superstructure was the system of private property, under which a portion of society's output went to those who owned its great technical apparatus. The conflict lay in the fact that the base and superstructure were incompatible.

Why? Because the base of industrial production—the actual making of goods—was an ever more organized, integrated, *interdependent* process, whereas the superstructure of private property was the most *individualistic* of social systems. Hence the superstructure and the base clashed: factories necessitated social planning, and private property abhorred it; *capitalism* had become so complex that it needed direction, but *capitalists* insisted on a ruinous freedom.

The result was twofold. First, capitalism would sooner or later destroy itself. The planless nature of production would lead to a constant disorganization of economic activity—to crises and slumps and the social chaos of depression. The system was simply too complex; it was constantly getting out of joint, losing step, and overproducing one good while underproducing another.

Secondly, capitalism must unknowingly breed its own successor. Within its great factories it would not only create the technical base for socialism—rationally planned production—but it would create as well a trained and disciplined *class* which would be the agent of socialism—the embittered proletariat. By its own inner dynamic, capitalism would produce its own downfall, and in the process, nourish its own enemy.

It was a profoundly important insight into history, not only for what it betokened for the future, but for the whole new perspective it opened upon the past. We have come to be familiar with the "economic interpretation" of history, and we can accept with equanimity a reevaluation of the past with respect to the struggle, say, of the nascent seventeenth-century commercial classes and the aristocratic world of land and lineage. But for Marx and Engels, this was no mere exercise in historical reinterpretation. The dialectic led to the fu-

ture, and that future, as revealed by *The Communist Manifesto,* pointed to revolution as the destination toward which capitalism was moving. In somber words the *Manifesto* proclaimed: "The development of modern industry . . . cuts from under its feet the very foundation on which the bourgeoisie produces and appropriates products. What the bourgeoisie therefore produces, above all, are its own gravediggers. Its fall and the victory of the proletariat are equally inevitable."

The *Manifesto,* with its rumbling, inexorable interpretation of history, was not written in Paris. Marx's career had been brief in that city. He edited a caustic, radical magazine; he again rubbed the sensibilities of the Prussian government; and at its behest, he was expelled from the French capital.

He was married now—in 1843 he had married Jenny von Westphalen, who had lived next door to him as a child. Jenny was the daughter of a Prussian aristocrat and Privy Councillor, but Baron von Westphalen was nevertheless a humanist and liberal thinker. He had talked to young Marx about Homer and Shakespeare and even told him about the ideas of Saint-Simon despite their pronouncement as heresy by the local bishop. As for Jenny—she was the belle of the town. Beautiful and with suitors galore, she could easily have made a more "suitable" match than the dark young man next door. But she was in love with him, and both families smiled their approval. For the Marxes such a marriage would be a not inconsiderable social triumph, and for the Baron it was, perhaps, a happy vindication of his humanist ideas. One wonders if he would have given his consent could he have foreseen what was to happen to his daughter. For Jenny was to be forced to share the bed of a common prostitute in jail and would have to beg the money from a neighbor to buy a coffin to bury one of her children. In place of the pleasant comforts and the social prestige of Trier, she was to spend the years of her life in two dismal rooms in a London slum, sharing with her husband the calumny of a hostile world.

And yet it was a deeply devoted union. In his dealings with outsiders, Marx was unkind, jealous, suspicious, and

wrathful; but he was a joyous father and a loving husband. At one period, when his wife was ill, Marx turned to Lenchen, the Westphalian family maid who stayed with them, unpaid, all their days, but even that infidelity—from which an unacknowledged child was born—could not undo a relationship of great passion. Later, much later, when Jenny was dying and Marx was ill, this lovely scene was witnessed by her daughter.

> Our dear mother lay in the big front room and the Moor lay in the little room next to it. . . . Never shall I forget the morning he felt himself strong enough to go into Mother's room. When they were together they were young again—she a young girl and he a loving youth, both on life's threshold, not an old disease-ridden man and an old dying woman parting from each other for life.

The Marxes had moved to London in 1849. Expulsion from Paris, four years before, had landed them in Brussels, where they stayed (and the *Manifesto* was composed) until the revolutionary outbursts in 1848. Then, when the Belgian king had secured a firm enough grip on his shaky throne, he rounded up the radical leaders in his capital, and Marx went briefly to Germany.

It was the same pattern all over again. Marx took over the editorship of a newspaper, and it was only a matter of time before the government closed it down. He printed the last edition in red—and sought a haven in London.

He was now in desperate financial shape. Engels was in Manchester, leading his strange double life (he was a respected figure on the Manchester Stock Exchange), and he supplied the Marxes with a never-ending stream of checks and loans. Had Marx been a financially orderly person, the family might have lived in decency. But Marx was never one to balance his books. Thus the children had music lessons—and the family went without heat. Life was a constant struggle against bankruptcy, and money worries were a suffocating presence always.

There were, in all, five of them including Lenchen. Marx

had no work—except his never-ending stint in the British Museum from ten o'clock every morning until seven o'clock at night. He tried to make a little money by writing articles on the political situation for the *New York Tribune,* whose editor, Charles A. Dana, was a Fourierist and not averse to a few slaps at European politics. It helped for a while, although it was Engels who bailed Marx out by composing many of his pieces for him—Marx meanwhile advising by letter as follows: "You must your war-articles colour a little more." When the articles stopped, he tried to get a clerical job with a railway, but was rejected for his atrocious handwriting. Thereafter he pawned what was left to his name, all the family silver and valuables having been sold long ago. At times his want was so intense that he was forced to sit home because his coat and even his shoes were in pawn; on other occasions he lacked the money to buy postage stamps to send his works to the publisher. And to compound his difficulties, he suffered from the most painful boils. When he arrived home one evening after writing in misery all day long in the Museum he remarked, "I hope the bourgeoisie as long as they live will have cause to remember my carbuncles." He had just composed the terrible chapter of *Das Kapital* which describes the Working Day.

There was only Engels to fall back on. Marx wrote him constantly, touching on economics, politics, mathematics, military tactics, on everything under the sun, but especially on his own situation. A typical excerpt reads:

> My wife is ill. Little Jenny is ill. Lenchen has a sort of nervous fever and I can't call in the doctor because I have no money to pay him. For about eight or ten days we have all been living on bread and potatoes and it is now doubtful whether we shall be able to get even that. . . . I have written nothing for Dana because I didn't have a penny to go and read the papers. . . . How am I to get out of this infernal mess? Finally, and this was most hateful of all, but essential if we were not to kick the bucket, I have, over the last 8–10 days, touched some German types for a few shillings and pence . . .

Only the last years were a little easier. An old friend left Marx a small bequest, and he was able to live in some comfort, and even to travel a bit for his health. Engels, too, finally came into an inheritance and left his business; in 1869 he went to his office for the last time and came over the fields to meet Marx's daughter, "swinging his stick in the air and singing, his face beaming."

In 1881 Jenny died; she had buried two of her five children, including her only son; she was old and tired. Marx was too ill to go to the funeral; when Engels looked at him he said, "The Moor is dead, too." Not quite; he lingered for two more years; disapproved of the husbands two of his daughters had chosen; grew weary of the bickering of the working-class movement and delivered himself of a statement that has never ceased to bedevil the faithful ("I am not a Marxist," he said one day); and then on a March afternoon, quietly slipped away.

What had he done, in these long years of privation?

He had produced, for one thing, an international working-class movement. As a young man, Marx had written: "The philosophers hitherto have only interpreted the world in various ways; the thing, however, is to change it." Marx and Engels had given the accolade to the proletariat in their interpretation of history; now they set about steering and guiding the proletariat so that it should exert its maximum leverage on history.

It was not an attempt crowned with much success. Coincident with the publication of the *Manifesto,* the Communist League had been formed, but it was never much more than a paper organization; the *Manifesto,* which was its platform, was not then even placed on public sale, and with the demise of the revolution of 1848, the League died too.

It was followed in 1864 with a far more ambitious organization, the International Workingmen's Association. The International boasted seven million members and was real enough to have a hand in a wave of strikes which swept the Continent and to earn for itself a rather fearsome reputation. But it, too, was doomed to have a brief history. The Interna-

tional did not consist of a tough and disciplined army of Communists, but a motley crew of Owenists, Proudhonists, Fourierists, lukewarm Socialists, rabid nationalists, and trade unionists who were leery of any kind of revolutionary theory whatsoever. With considerable skill Marx kept his crew together for five years, and then the International fell apart; some followed Bakunin, a giant of a man with a true revolutionist's background of Siberia and exile (it was said that his oratory was so moving that his listeners would have cut their throats if he had asked them to), while others turned their attention back to national affairs. The last meeting of the International was held in New York in 1874. It was a lugubrious failure.

But far more important than the creation of the First International was the peculiar tone which Marx injected into working-class affairs. This was the most quarrelsome and intolerant of men, and from the beginning he was unable to believe that anyone who did not follow his line of reasoning could possibly be right. As an economist his language was precise, as a philosopher-historian it was eloquent, as a revolutionary it was scurrilous. He stooped to anti-Semitism. He called his opponents "louts," "rascals," even "bedbugs." Early in his career, when he was still in Brussels, Marx had been visited by a German tailor named Weitling. Weitling was a tried son of the labor movement; he had scars on his legs from the irons of Prussian prisons and a long history of selfless and valiant efforts on behalf of the German workingman. He came to speak to Marx on such things as justice and brotherhood and solidarity; instead he found himself exposed to a merciless cross-examination on the "scientific principles" of socialism. Poor Weitling was confused, his answers were unsatisfactory. Marx, who had been sitting as the chief examiner, began to stride angrily about the room. "Ignorance has never helped anybody yet," he shouted. The audience was over.

Willich was another to be excommunicated. An ex-Prussian captain, he had fought in the German revolution and later was to become an outstanding general on the Union side of the American Civil War. But he clung to the "un-Marxist" idea that "pure will" could be the motive power of revolution instead of "actual conditions"; for this notion—

which Lenin was one day to prove was not so far-fetched after all—he, too, was dropped from the movement.

And the list could be extended endlessly. Perhaps no single incident was more provocative, more prophetic of a movement that was one day to degenerate into an internal witch-hunt for "deviationists" and "counterrevolutionaries" than the feud between Marx and Pierre Proudhon. Proudhon was the son of a French barrelmaker, a self-educated brilliant Socialist who had rocked the French intelligentsia with a book entitled *What Is Property?* Proudhon had answered, Property is Theft, and he had called for an end to huge private riches, although not to all private property. Marx and he had met and talked and corresponded, and then Marx asked him to join forces with himself and Engels. Proudhon's answer is so profoundly moving and so prescient that it is worth quoting at some length:

> Let us together seek, if you wish, the laws of society, the manner in which these laws are reached, the process by which we shall succeed in discovering them; but, for God's sake, after having demolished all the *a priori* dogmatisms, do not let us in our turn dream of indoctrinating the people. . . . I applaud with all my heart your thought of inviting all shades of opinion; let us carry on a good and loyal polemic, let us give the world the example of an informed and farsighted tolerance, but let us not—simply because we are at the head of a movement—make ourselves into the leaders of a new intolerance, let us not pose as the apostles of a new religion, even if it be the religion of logic, the religion of reason. Let us gather together and encourage all dissent, let us outlaw all exclusiveness, all mysticism, let us never regard a question as exhausted, and when we have used one last argument, let us if necessary begin again—with eloquence and irony. On these conditions, I will gladly enter into your association. Otherwise, no!

Marx's answer was this: Proudhon had written a book called *The Philosophy of Poverty;* Marx now annihilated it with a rejoinder entitled *The Poverty of Philosophy.*

The pattern of intolerance was never to disappear. The First International would be followed by the mild and well-meaning Second—which included Socialists of such caliber as Bernard Shaw, Ramsay MacDonald, and Pilsudski (as well as Lenin and Mussolini!), and then by the infamous Third, organized under the aegis of Moscow. And yet, the impact of these great movements is perhaps less than the persistence of that narrowness, that infuriating and absolute inability to entertain dissent, which communism has inherited from its single greatest founder.

Had Marx produced nothing more in his long years in exile than a revolutionary labor movement, he would not loom today so important a figure in the world. Marx was only one of a dozen revolutionaries and by no means the most successful; he was only one of at least that many prophets of socialism, and as a matter of fact he wrote next to nothing about what that new society might be like. His final contribution lies elsewhere: in his dialectical materialist theory of history, and even more important, in his pessimistic analysis of the outlook for a capitalist economy.

"The history of capitalism," we read in the Program of the Communist International adopted in 1929—a kind of latter-day restatement of *The Communist Manifesto*—"has completely confirmed the Marxist theory of the laws of development of capitalist society and of its contradictions, leading to the destruction of the entire capitalist system." What were those laws? What was Marx's prognosis for the system that he knew?

The answer lies in that enormous work *Das Kapital (Capital)*. With Marx's agonizing meticulousness, it is remarkable that the work was ever finished—in a sense it never was. It was eighteen years in process; in 1851 it was to be done "in five weeks"; in 1859 "in six weeks"; in 1865 it was "done"—a huge bundle of virtually illegible manuscripts which took two years to edit into Volume I. When Marx died in 1883 three volumes remained: Engels put out Volume II in 1885 and the third in 1894. The final (fourth) volume did not emerge until 1910.

There are twenty-five hundred pages to read for anyone intrepid enough to make the effort. And what pages! Some deal with the tiniest of technical matters and labor them to a point of mathematical exhaustion; others swirl with passion and anger. This is an economist who has read *every* economist, a German pedant with a passion for dotting i's and crossing t's, and an emotional critic who can write that capital has a "vampire thirst for the living blood of labour," and who tells us that capital came into the world "dripping from head to foot, from every pore, with blood and dirt."

And yet one must not jump to the conclusion that this is merely an irascible text inveighing against the sins of the wicked money barons. It is shot through with remarks that betray the total involvement of the man with his theoretical adversary, but the great merit of the book, curiously enough, is its utter detachment from all considerations of morality. The book describes with fury, but it analyzes with cold logic. For what Marx has set for his goal is to discover the intrinsic tendencies of the capitalist system, its inner laws of motion, and in so doing, he has eschewed the easy but less convincing means of merely expatiating on its manifest shortcomings. Instead he erects the most rigorous, the purest capitalism imaginable, and within this rarefied abstract system, with an imaginary capitalism in which all the obvious defects of real life are removed, he seeks his quarry. For if he can prove that the best of all possible capitalisms is nonetheless headed for disaster, it is certainly easy to demonstrate that real capitalism will follow the same path, only quicker.

And so he sets the stage. We enter a world of perfect capitalism: no monopolies, no unions, no special advantages for anyone. It is a world in which every commodity sells at exactly its proper price. And that proper price is its *value*—a tricky word. For the value of a commodity, says Marx (essentially following Ricardo), is the amount of labor it has within itself. If it takes twice as much labor to make hats as shoes, then hats will sell for twice the price of shoes. The labor, of course, need not be direct manual labor; it may be overhead labor that is spread over many commodities, or it may be the labor that once went into making a machine and that the ma-

chine now slowly passes on to the products it shapes. But no matter what its form, everything is eventually reducible to labor, and all commodities, in this perfect system, will be priced according to the amount of labor, direct or indirect, that they contain.

In this world stand the two great protagonists of the capitalist drama: worker and capitalist—the landlord has by now been relegated to a minor position in society. They are not quite the same protagonists we have met earlier in similar economic tableaux. The worker is no longer the slave to his reproductive urge. He is a free bargaining agent who enters the market to dispose of the one commodity he commands—labor power—and if he gets a rise in wages he will not be so foolish as to squander it in a self-defeating proliferation of his numbers.

The capitalist faces him in the arena. His greed and lust for wealth are caustically described in those chapters that leave the abstract world for a look into 1860 England. But it is worth noting that he is not money hungry from mere motives of rapacity; he is an owner-entrepreneur engaged in an endless race against his fellow owner-entrepreneurs; he *must* strive for accumulation, for in the competitive environment in which he operates, one accumulates or one gets accumulated.

The stage is set and the characters take their places. But now the first difficulty appears. How, asks Marx, can profits exist in such a situation? If everything sells for its exact value, then who gets an unearned increment? No one dares to raise his price above the competitive one, and even if one seller managed to gouge a buyer, that buyer would only have less to spend elsewhere in the economy—one man's profit would thus be another man's loss. How can there be profit *in the whole system* if everything exchanges for its honest worth?

It seems like a paradox. Profits are easy to explain if we assume that there are monopolies that need not obey the leveling influences of competition or if we admit that capitalists may pay labor less than it is worth. But Marx will have none of that—it is to be ideal capitalism which will dig its own grave.

He finds the answer to the dilemma in one commodity that is different from all others. The commodity is labor power. For the laborer, like the capitalist, sells his product for exactly what it is worth—for its value. And its value, like the value of everything else that is sold, is the amount of labor that goes into it—in this case, the amount of labor that it takes to "make" labor-power. In other words, a laborer's salable energies are worth the amount of socially necessary labor it takes to keep that laborer going. Smith and Ricardo would have agreed entirely: the value of a workman is the money he needs in order to exist. It is his subsistence wage.

So far, so good. But here comes the key to profit. The laborer who contracts to work can ask only for a wage that is his due. What that wage will be depends, as we have seen, on the amount of labor-time it takes to keep a man alive. If it takes six hours of society's labor per day to maintain a workingman, then (if labor is priced at one dollar an hour), he is "worth" six dollars a day. No more.

But the laborer who gets a job does not contract to work only six hours a day. That would be just long enough to support himself. On the contrary, he agrees to work a full eight-hour, or in Marx's time, a ten- or eleven-hour day. Hence he will produce a full ten or eleven hours' worth of value and he will get paid for only six. His wage will cover his subsistence, which is his true "value," but in return he will make available to the capitalist the value he produces in a full working day. And this is how profit enters the system.

Marx called this layer of unpaid work "surplus value." The words do not imply moral indignation. The worker is entitled only to the *value* of his labor-power. He gets it in full. But meanwhile the capitalist gets the full value of his workers' whole working day, and this is longer than the hours for which he paid. Hence when the capitalist sells his products, he can afford to sell them at *their* true value and still realize a profit. For there is more labor time embodied in his products than the labor time for which he was forced to pay.

How can this state of affairs come about? It happens because the capitalists monopolize one thing—access to the means of production themselves. Under the legal arrange-

ments of private property, capitalists "own" jobs, insofar as they own the machines and equipment without which men and women cannot work. If someone isn't willing to work the number of hours that a capitalist asks, he or she doesn't get a job. Like everyone else in the system, a worker has no right and no power to ask for more than his own worth as a commodity. The system is perfectly "equitable," and yet all workers are cheated, for they are forced to work a longer time than their own self-sustenance demands.

Does this sound strange? Remember that Marx is describing a time when the working day was long—sometimes unendurably long—and when wages were, by and large, little more than it took to keep body and soul together. The idea of surplus value may be hard to grasp in a country where sweatshops are, with some exceptions, a thing of the past, but it was not merely a theoretical construct at the time that Marx was writing. One example may suffice: at a Manchester factory in 1862 the average work week for a period of a month and a half was 84 hours! For the previous 18 months it had been 78½ hours.

But all this is still only the setting for the drama. We have the protagonists, we have their motives, we have the clue to the plot in the discovery of "surplus value." And now the play is set in motion.

All capitalists have profits. But they are all in competition. Hence they try to accumulate, to expand their scales of output, at the expense of their competitors. But expansion is not so easy. It requires more laborers, and to get them the capitalists must bid against one another for the working force. Wages tend to rise. Conversely, surplus value tends to fall. It looks as if the Marxian capitalists will soon be up against the dilemma faced by the capitalists of Adam Smith and David Ricardo—their profits will be eaten away by rising wages.

To Smith and Ricardo the solution to the dilemma lay in the propensity of the working force to increase its numbers with every boost in pay. But Marx, like Mill, rules out this possibility. Marx doesn't argue about it; he simply brands the Malthusian doctrine "a libel on the human race"—after all,

the proletariat, which is to be the ruling class of the future, cannot be so shortsighted as to dissipate its gains through mere unbridled physical appetite. But he rescues his capitalists just the same. For he says that they will meet the threat of rising wages by introducing *laborsaving machinery* into their plants. This will throw part of the working force back onto the street, and there, as an Industrial Reserve Army, it will serve the same function as Smith's and Ricardo's population growth: it will compete wages back down to their former "value"—the subsistence level.

Now comes the crucial twist. It seems as though the capitalist has saved the day, for he has prevented wages from rising by creating unemployment through machinery. But not so fast. By the very process through which he hopes to free himself from one horn of the dilemma, he impales himself on the other.

For as he substitutes machines for men, he simultaneously substitutes nonprofitable means of production for profitable ones. Remember that in Marx's model of an ideal capitalist world, no one makes a profit by merely sharp bargaining. Whatever a machine will be worth to a capitalist, you can be sure that he paid full value for it. If a machine will create ten thousand dollars' worth of value over its whole life, our capitalist was presumably charged the full ten thousand dollars in the first place. It is only from his living labor that he can realize a profit, only from the unpaid-for hours of surplus working time. Hence, when he reduces the number or proportion of workers, he is killing the goose that lays the golden egg.

And yet, unhappy fellow, he has to. There is nothing Mephistophelean about his actions. He is only obeying his impulse to accumulate and trying to stay abreast of his competitors. As his wages rise, he *must* introduce laborsaving machinery to cut his costs and rescue his profits—if he does not, his neighbor will. But since he must substitute machinery for labor, he must also narrow the base out of which he gleans his profits. It is a kind of Greek drama where men go willy-nilly to their fate, and in which they all unwittingly cooperate to bring about their own destruction.

For now the die is cast. As his profits shrink, each capitalist will redouble his efforts to put new laborsaving, cost-cutting machinery in his factory. It is only by getting a step ahead of the parade that he can hope to make a profit. But since everyone is doing precisely the same thing, the ratio of living labor (and hence surplus value) to total output shrinks still further. The rate of profit falls and falls. And now doom lies ahead. Profits are cut to the point at which production is no longer profitable at all. Consumption dwindles as machines displace men and the number of employed fails to keep pace with output. Bankruptcies ensue. There is a scramble to dump goods on the market, and in the process smaller firms go under. A capitalist crisis is at hand.

A crisis does not mean the end of the game. Quite the contrary. As workers are thrown out of work, they are forced to accept subvalue wages. As machinery is dumped, the stronger capitalists can acquire machines for less than their true value. After a time, surplus value reappears. The forward march is taken up again. Thus each crisis serves to renew the capacity of the system to expand. Crisis—or a business slump or recession, in modern terminology—is therefore the way the system *works*, not the way it fails.

But the working is certainly very peculiar. Each renewal leads to the same ending: competition for workers; higher wages; labor-displacing machinery; a smaller base for surplus value; still more frenzied competition; another crisis—*worse than the preceding one.* For during each period of crisis, the bigger firms absorb the smaller ones, and when the industrial monsters eventually go down, the wreckage is far greater than when the little enterprises buckle.

Finally, the drama ends. Marx's picture of it has all the eloquence of a description of a Damnation:

> Along with the constantly diminishing number of the magnates of capital, who usurp and monopolize all advantages of this process of transformation, grows the mass of misery, oppression, slavery, degradation, exploitation; but with this too grows the revolt of the working-class, a class always increasing in numbers, and disciplined, united, organized by the very mechanism of the process of capitalist production itself. . . . Centralization of the means of production and socialization of labour at last reach a point where they become incompatible with their capitalist integument. This integument bursts asunder. The knell of capitalist private property sounds. The expropriators are expropriated.

And so the drama ends in the sequence that Marx had envisioned in the dialectic. The system—the *pure* system—breaks down as it works upon itself to squeeze out its own source of energy, surplus value. The breakdown is hastened by the constant instability that arises from the essentially planless nature of the economy. Although there are forces at work that act to prolong its end, its final death struggle is inescapable.

How sharply all this contrasts with earlier views! For Adam Smith, the capitalist escalator climbed upward, at least as far as the eye could reasonably see. For Ricardo that upward motion was stalled by the pressure of mouths on insufficient crop land, which brought a stalemate to progress and a windfall to the fortunate landlord. For Mill the vista was made more reassuring by his discovery that society could distribute its product as it saw fit, regardless of what "economic laws" seemed to dictate. But for Marx even that saving possibility was untenable. For the materialist view of history told him that the state was only the political ruling organ of the economic rulers. The thought that it might act as a kind of referee, a third force balancing the claims of its conflicting members, would have seemed sheer wishful thinking. No, there was no escape from the inner logic, the dialectical development, of a system that would not only destroy itself but, in so doing, would give birth to its successor.

As to what that successor might look like, Marx had little to say. It would be "classless," of course—by which Marx meant that the basis for an economic division of society based on property would be removed once society owned all the means of production of goods. Just how society would "own" its factories; what was meant by "society"; whether there

would or could be bitter antagonisms between the managers and the managed, between the political chieftains and the rank and file—none of this did Marx discuss. During a transitional period of "socialism" there would be a "dictatorship of the proletariat"; after that, "pure" communism itself.

Marx, it must be kept in mind, was not the architect of actual socialism. That formidable task would fall to Lenin. *Das Kapital* is the Doomsday Book of capitalism, and in all of Marx there is almost nothing that looks beyond the Day of Judgment to see what the future might be like.

What are we to make of his apocalyptic argument?

There is an easy way of disposing of the whole thing. Remember that the system is built on value—labor value—and that the key to its demise lies in that special phenomenon called surplus value. But the real world consists not of "values" but of real tangible prices. Marx must show that the world of dollars and cents mirrors, in some approximate fashion, the abstract world that he has created. But in making the transition from a value-world to a price-world, he lands in the most terrible tangle of mathematics. In fact he makes a mistake.

It is not an irreparable mistake, and by going through an even worse tangle of mathematics one can make the Marxist equations come out "right." But the critics who pointed out the error were hardly interested in setting the scheme aright, and their judgment that Marx was "wrong" was taken as final. When the equations were finally rectified, no one paid much attention. For regardless of its mathematical purity, there are problems galore in the Marxian model. Can we really use the concept of surplus value in a world of monopolies or in a setting of scientific technology? Has Marx really disposed of the difficulties of using "labor" as the measuring rod of value?

Questions such as these continue to agitate the world of Marxian scholars and have tempted most non-Marxist economists to toss the whole scheme to one side as awkward and inflexible. But to do so overlooks two extraordinary properties of Marx's analysis.

First, it was more than just another "model" of economics. Marx literally invented a new task for social inquiry—

the critique of economics itself. A great part of *Capital* is devoted to showing that earlier economists had failed to understand the real challenge of the study they undertook. Take, for example, the problem of value that had exercised Smith and Ricardo. Both of them had sought, with varying degrees of success, to show how prices reflected—or failed to reflect—the amounts of labor-time embodied in different commodities.

But this was not the really perplexing question, Marx pointed out. The perplexing question was how one could speak of "labor" as a common denominator of value when the actual labors of men and women were so different. Ricardo spoke of the hours of labor it took to catch a salmon and to kill a deer as establishing their exchange ratios—that is, their prices. But no deer was ever killed with a fishing rod and no salmon caught by a hunter in the woods. How then could one use "labor" as a common denominator to determine exchange ratios?

The answer, said Marx, is that capitalist society creates a special kind of labor—abstract labor, labor that is detached from the special personal attributes of a precapitalist world, labor that can be bought and sold like so much wheat or coal. Hence the real insight of a "labor theory of value" is not the determination of prices, as Smith and Ricardo thought, *but the identification of a kind of social system in which labor power becomes a commodity.* That society is capitalism where historical forces (such as the enclosure movement, have created a propertyless class of workers who have no alternative but to sell their labor-power—their sheer ability to work—as a commodity.

Thus Marx invented a kind of "socio-analysis" that puts economics itself into a wholly new light. And beyond that signal contribution, Marx's model of capitalism, despite its clumsiness, seemed to come alive, to unfold in an extraordinary manner. Given its basic assumptions—the *mise-en-scène* of its characters, their motives and their milieu—the situation it presented *changed,* and changed in a way that was foreseeable. We have seen what these changes were: how profits fell, how capitalists sought new machinery, how each

boom ended in a crash, how small businesses were absorbed in each debacle by the larger firms. Marx called these trends the "laws of motion" of a capitalist system—the path that capitalism would tread over future time. And the astonishing fact is that so many of these predictions have come true.

For profits *do* tend to fall in a capitalist economy. The insight was not original with Marx, nor do profits fall only for the reason he gave. But as Adam Smith or Ricardo or Mill pointed out—and as any businessman will vouchsafe—the pressures of competition and rising wages do indeed cut profits. Impregnable monopolies aside (and these are few), profits are both the hallmark of capitalism and its Achilles' heel, for no business can *permanently* maintain its prices much above its costs. There is only one way in which profits can be perpetuated: a business—or an entire economy—must grow.

But the need for growth implies the second prediction of the Marxist model: the ceaseless quest for new techniques. It was no accident that industrial capitalism dates from the Industrial Revolution, for as Marx made clear, technological progress is not merely an accompaniment of capitalism but a vital ingredient. Business *must* innovate, invent, and experiment if it is to survive; the business that rests content on its past achievements is not long for this enterprising world. Not untypically, one large chemical company recently announced that some three quarters of its income came from products that were unknown ten years ago; and although this is an exceptionally inventive industry, the relationship between industrial inventiveness and profitability generally holds.

The model showed three more tendencies for capitalism which have also come to pass. We hardly need document the existence of business crises over the past hundred years or the emergence of giant business enterprise. But we might remark on the daring of Marx's predictions. A propensity to crisis—what we would call *business cycles*—was not recognized as an inherent feature of capitalism by any other economist of Marx's time, although future events have certainly vindicated his prediction of successive boom and crash. And in the world of business, when *Capital* appeared, bigness was

the exception rather than the rule, and small enterprise still ruled the roost. To claim that huge firms would come to dominate the business scene was as startling a prediction in 1867 as would be a statement today that fifty years hence America will be a land in which small-scale proprietorships will have displaced giant corporations.

Last, Marx believed that the small independent artisan or self-employed worker would be unable to resist the pressures of mass production, and that an ever larger fraction of the work force would have to sell its labor-power on the market—that is, to become a "proletarian." Has that come true? Well, in the first quarter of the nineteenth century about three-quarters of all Americans worked for themselves, on the farm or in small shops. Today only about 10 percent of the labor force is self-employed. We may not think of an office worker or a bus driver or a bank teller as a proletarian, but in Marx's terms these are all workers who must offer their labor-power to capitalists, unlike the farmer or the shoe cobbler, who own their own means of production.

All in all, the model displayed extraordinary predictive capacity. But note this: all these changes, vast and portentous as they were, could not have been unearthed purely by examining the world as it appeared to Marx's eyes. For there is no single representative figure for his vision—no farsighted labor leader, no hero of the revolution-to-come. Of course there are central players, above all the self-defeating capitalist and the ultimately triumphant worker, but both are pawns in the drama that brings one ultimately to defeat, the other to victory. The representative "figure" in Marx's scenario is not a person but a process. It is the dialectical force of things that is the centerpiece of his vision.

It was not, of course, exact. Marx thought that profits would not only fall *within* the business cycle, which they do, but that they would display a long downward secular trend; this does not appear to have taken place. But for all its shortcomings—and it is far from infallible, as we shall see—the Marxist model of how capitalism worked was extraordinarily prophetic.

But everything that Marx had predicted so far was, after

all, fairly innocuous. There remained the final prediction of the model; for, as the reader will remember, in the end Marx's "pure capitalism" *collapsed.*

Let it be said at the outset that this prediction as well cannot be lightly brushed aside. In Russia and Eastern Europe, capitalism was displaced by socialism; in Germany and Italy it drifted into fascism. And while wars, brute political power, exigencies of fate, and the determined efforts of revolutionaries have all contributed their share, the grim truth is that these changes occurred largely for the very reason Marx foresaw: capitalism broke down.

Why did it break down? Partly because it developed the instability Marx said it would. A succession of worsening business crises, compounded by a plague of wars, destroyed the faith of the lower and middle classes in the system. But that is not the entire answer. European capitalism failed not so much for economic as for *social* reasons—and Marx foresaw this too!

For Marx recognized that the economic difficulties of the system were not insuperable. Although antimonopoly legislation or anti-business-cycle policies were unknown in Marx's day, such activities were not inconceivable: there was nothing inevitable in the *physical* sense about Marx's vision. The Marxist prediction of decay was founded on a conception of capitalism in which it was *politically* impossible for a government to set the system's wrongs aright; ideologically, even emotionally, impossible. The cure for capitalism's failings would require that a government would have to rise above the interests of one class alone—and that was to assume that men could free themselves from the shackles of their immediate economic self-interest. Marx's analysis made that doubtful.

It is just this lack of social flexibility, this bondage to shortsighted interest, that weakened European capitalism—at least until after World War II. For one who has read the works of Marx it is frightening to look back at the grim determination with which so many nations steadfastly hewed to the very course that he insisted would lead to their undoing. It was as if their governments were unconsciously vindicating

Marx's prophecy by obstinately doing exactly what he said they would. When in Russia under the Tsars all democratic trade unionism was ruthlessly stamped out, when in England and Germany monopolies and cartels were officially encouraged, the Marxist dialectic looked balefully prescient indeed. All through the late nineteenth and early twentieth centuries, when one inspected the enormous gulf between rich and poor and saw evidence of the total indifference of the former for the latter, one had the uneasy feeling that the psychological stereotypes that Marx cast in his historical drama were all too truly drawn from life.

Things moved differently in America during those years. We too had our share of reactionaries and revolutionaries. The economic history of the United States contains more than enough exploitation and ugliness. But capitalism here evolved in a land untouched by the dead hand of aristocratic lineage and age-old class attitudes. To some degree this resulted in a harsher social climate in America than in Europe, for we clung to the credo of "rugged individualism" long after the individual had been hopelessly overwhelmed by the environment of massive industrialism, whereas in Europe a traditional noblesse oblige existed side by side with its unconcealed class divisions. Yet out of the American milieu came a certain pragmatism in dealing with power, private as well as public, and a general subscription to the ideals of democracy which steered the body politic safely past the rocks on which it foundered in so many nations abroad.

It is in these capabilities for change that the answer to Marxian analysis lies. Indeed, the more we examine the history of capitalism, especially in recent decades, the more we learn both to respect the penetration of Marx's thought and to recognize its limitations. The *problems* he diagnosed within capitalism are still very much with us, including above all a tendency to economic instability and to the concentration of wealth and power. Yet in different nations we find widely different responses to these problems. Thus, despite much higher unemployment rates than we find in the United States, many European countries provide free universal education (including college), health and pension benefits, and

unemployment relief on scales that put ours to shame. As a result, the proportion of our population living in poverty is three and four times higher than theirs!

The point, in weighing Marx's powerful vision and the analytics that follow from it, is his failure to make allowances for the role of sociopolitical culture—an element he barely mentions. There is a spectrum of views and values on the prerogatives of capital, the centrality of the market, and the respective roles of the private and the public sectors in all nations whose institutions are capitalist—that is, that incorporate these defining beliefs. It is in this spectrum of institutions, behaviors, and attitudes that the successor vision to Marx must be sought.

Yet, shorn of its overtones of inevitable doom, the Marxist analysis cannot be disregarded. It remains the gravest, most penetrating examination the capitalist system has ever undergone. It is not an examination conducted along moral lines with head wagging and tongue clucking over the iniquities of the profit motive—this is the stuff of the Marxist revolutionary but not of the Marxist economist. For all its passion, it is a dispassionate appraisal, and it is for this reason that its somber findings remain pertinent.

Finally, we must remember that Marx was not just a great economist. In his graveside oration, Engels said that "just as Darwin discovered the law of evolution in organic nature, so Marx discovered the law of evolution in human history." This is certainly too much to claim, but Engels was not wrong in emphasizing the extraordinary importance of Marx's vision of the historic process as an arena in which social classes struggle for supremacy. Marx taught us not just to look at, but to look through, history, just as Freud taught us to look *through* the façade of personality to the psychic processes within us, or as Plato taught us to look through the screen of unexamined ideas to the veiled questions of philosophy.

That is why Marx's name, like those of Freud and Plato, remains contemporary. Marx is certainly not infallible, for all the idol worship to which he has been subjected. He is better thought of as *unavoidable*—a great explorer whose footprints have been indelibly imprinted on the continent of social

thought that he discovered. All who wish to explore that continent further, whether or not they agree with Marx's findings, must pay their respects to the person who first claimed it for mankind.